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TECHNOLOGICAL
UNIVERSITY**
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SCHOOL OF MECHANICAL AND AEROSPACE ENGINEERING

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BUSINESS PLAN REPORT

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WatchLingo

Business Plan

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1. Executive Summary

Language barrier -- a common issue experienced by many all over the world. With aviation and technological advancements, traveling to countries that have a different native language has become much easier in today's world. However, these applications and software developed such as Google Translate, still pose a certain inconvenience to users. For example, when translating a sign written in Mandarin to English, research needs to be done to find the word to be translated. In addition, many of this software require access to the internet that not many have immediate access to while traveling.

BrainBox is a newly formed technological company aimed to improve and develop existing and new technologies that improve the lifestyle of our customers. The first launched product of BrainBox is WatchLingo, a smartwatch that is equipped with an additional feature of translation. With WatchLingo, we aim to eradicate the inconveniences that users face when it comes to translating words from a foreign language whilst improving accessibility to the software through comfort and portability.

This report is aimed to provide insights on the ambitions of BrainBox, our plans to achieve them as well as our sales and marketing strategies for WatchLingo. At BrainBox, we are positive that we will acquire a significant portion of the market and generate continual profits with our team of experts in our respective fields of the industry.

The selling price of WatchLingo is set to be at S\$160, a competitive yet profitable price when compared to other smartwatches in the market. With an in-built camera and translation software programmed into the watch, WatchLingo possesses a feature that is not found in many of the smartwatches available today. The target audience of our product is travelers, both leisure and formal alike, especially those who visit countries with different first languages.

BrainBox targets our first-year sales of WatchLingo to be 800 in numbers at the set price of \$160 each, bringing in a total revenue of \$128,000. The immediate goal for WatchLingo is to spread awareness of the product and its features and satisfy the sought-after features of customers. With the expected initial expenses, a loss is consequential in the first year, however, we believe that the product sales will only increase annually as we also continually improve and introduce features into WatchLingo. Ultimately, a profit will be expected shortly in 5 years and is estimated to be at approximately \$200,000 in the fifth year. With additional funding through investors and bank loans, the losses could be mitigated and the profits would witness an increase.

In summary, BrainBox strives to be a competitive and reputable company in the market that seeks to improve the lifestyle and conveniences of our customers with products such as WatchLingo, while keeping our products affordable and practical.

2. Business Overview

2.1 Industry Overview

As the Covid-19 pandemic's limitations are eased, the tourism industry is progressively recovering. After months of lockdowns and travel restrictions, people are now eager to tour other countries and reunite with loved ones. Thus, with the increase in travel activity, the need for effective communication across different languages has become more crucial than ever before.

According to recent market research, the smartwatch industry is projected to reach a market value of over 29 billion USD by 2027. The increased usage of wearable technology in a variety of sectors, including healthcare, sports, and fitness, as well as technological improvements and greater health consciousness, are all factors that have contributed to this expansion.

To add on, the market for language translation technology is also expanding at an unprecedented rate. In an article published by TechNavio (2022) entitled "Language Translation Software Market - Forecast and Analysis", Jesse (2022) opines that the potential market growth for the language translation software market between 2021 and 2026 is projected to reach over 9.37 billion USD. The demand for such technology has increased significantly due to globalization and the need to communicate effectively across different cultures and languages.

In summary, we can anticipate seeing the smartwatch industry continue to develop and prosper in the years to come as more individuals embrace wearable technology and the need for language translation increases. Hence, creating opportunities for companies like BrainBox to provide innovative and valuable solutions to the market.

2.2 Company Overview

BrainBox is a dynamic start-up company that is revolutionizing the smartwatch industry by utilizing cutting-edge technology to address a common issue: language barriers. Our smartwatches can translate foreign languages in real-time, making communications across different cultures and languages effortless. The team is composed of experts in the field of technology and language translation, who work tirelessly to ensure that our products live up to the consumers' needs and expectations.

Our vision is to enable individuals to communicate efficiently regardless of linguistic difficulties as we believe that language should not stand in the way of connecting with others and experiencing various cultures. Our mission is to make language translation accessible, easy, and seamless through our products.

Our products are designed to appeal to a wide range of consumers and are fitted with intuitive features that make communications effortless. BrainBox is dedicated to

providing consumers with the highest quality products that are reliable, effective, and user-friendly. With our innovative approach, we aim to break down language barriers, foster understanding, and build a more interconnected world.

2.3 Our Product

WatchLingo is a smartwatch developed by BrainBox and it is designed to translate foreign languages into the user's native language in real time. WatchLingo has a height of 1.52" (38.6 mm), width of 1.31" (33.3 mm), depth of 0.45" (11.4 mm), and weighs 1.5 oz (42.4 grams). The screen size is 1.337" (34 mm) diagonal with a resolution of 272 x 340 px at 326 ppi. The dimensions are as shown in Figure 1.

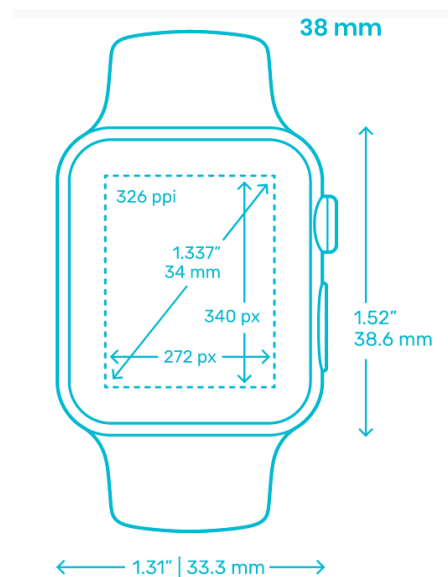


Figure 1: WatchLingo's Dimensions

The housing of the watch is constructed using stainless steel as they provide protection and durability. As an additional measure of protection, a thin layer of glass is added over the display screen. This material is preferred over plastic as it is scratch-resistant and more durable. The watch's bands are made from rubber as it is both flexible and waterproof. Additionally, it offers a stylish appearance and it is also more comfortable for customers to wear. The motherboard with CPU is as shown in Figure 2. The watch is programmed using Python on a raspberry pi to translate foreign languages into the user's native language.



Figure 2: Motherboard with CPU

2.3.1 Key Features

- I. In-built camera that captures words as images and translates them into the native's language in real time.
- II. WatchLingo is designed to be water-resistant, allowing consumers to use it safely in any conditions.
- III. Night mode feature which allows consumers to capture and translate images in the dark.

2.4 Positioning

Our business aspires to be recognized as an assistive technology provider of the highest caliber for overcoming language barriers. We are achieving this by integrating cutting-edge technology into smartwatches to provide quick and accurate language translation services to achieve the highest customer satisfaction. Although there are translation apps in the current market, they have their limitations. For instance, most of these apps are not user-friendly as users are required to manually input the text or speak into the device. The older generations who are not tech-savvy may also face some difficulties navigating through the app. Furthermore, these apps may also not be accessible to people who do not own smartphones. Hence, BrainBox developed WatchLingo to provide a seamless and intuitive translation experience for consumers.

2.5 Pricing Strategies

Value-based pricing will be used as the primary pricing method for BrainBox. The hardware of the product is expected to be the largest portion of the expense, with an average estimated cost of \$100. Hence, to cut down on this expense, the materials will be procured in bulk from China, where material costs are lower. Hence, the total estimated cost to produce 1 unit will range between \$70, and with the selling price of \$160, we are expected to make an estimated profit of \$90 per unit.

Although the product is slightly more expensive, we are confident that consumers are willing to purchase this product as it is an upfront payment and the product has a long life cycle. To add on, we will also be providing a 1-year warranty on our products as a form of reassurance to our customers. Furthermore, we strongly believe that the benefits of owning WatchLingo outweigh the cost of the smartwatch.

3. Market Analysis

3.1 Target Market and Trend

With globalization and ease of connectivity on the rise, there is a growing demand to eliminate the language barrier each country poses. Furthermore, gadgets such as smartphones and smartwatches have witnessed a sharp increase due to their ability to deliver with just one click. Thus, we aim to capitalize on these 2 growing trends to not only emphasize greater convenience but also bring us one step closer to knowing each other.

With the introduction of WatchLingo, we aim to tackle the challenges posed by language barriers. The target market for WatchLingo is diverse, catering to a range of individuals and industries that require effective communication across different languages.

The primary market for WatchLingo includes travelers, including backpackers, vacationers, and business travelers. With the ability to translate languages in real-time and ease of use, WatchLingo provides travelers with a convenient tool to navigate unfamiliar environments, interact with locals, and make the most of their travel experience.

- I. Tourists: Act as a short-term translator for important information pasted in the form of text on signboards, menus, or directions.

- II. Business professionals: Provide an effective form of communication among the stakeholders or clients when the company's documents such as files and emails are being translated.
- III. Students: Helps in understanding a foreign country's language better, thus enabling them to absorb the country's background and culture during their stay away from home.
- IV. Immigrants: Allows them to pick up the new language faster and communicate with the locals effectively.

3.2 Marketing Strategy

3.2.1 User friendly interface

With just a quick scan from the built-in camera on the side of the WatchLingo, images with text be it on magazines, brochures, signboards or even menus will then be translated to the desired language and then displayed on the LCD screen, providing the user with a seamless translating experience whenever they encounter a row of unknown language. Not only does this provide a quick translation, but it also brings its users one step towards understanding a whole new language.

3.2.2 Brand Partnerships

BrainBox plans to generate partnerships with the following types of enterprise:

- I. Hotels
Partnerships with local hotels in targeted countries or booking websites such as Agoda, Trivago, Klook, and Traveloka allow BrainBox to reach a wider audience in the tourism arena. Online advertisements, giveaways, and contests on the company website enable WatchLingo to garner more attention from online platforms. As for WatchLingo's physical presence, it could be showcased in hotel gift stores, hotel complementary packages, or hotel event sponsorships. This will allow WatchLingo to catch the eyes of tourists and travelers.
- II. Tour agencies
Well-known agencies such as CTC Travel and Dynasty Travel provide more interaction with their customers. Collaboration with these tour agencies ensures promotion through their websites or social media, enabling their frequenters to acknowledge WatchLingo. A more intimate form of promotion is word of mouth by

tour guides during a tour will further gain the product more recognition among travelers.

3.2.3 Advertisement

Singapore is a multicultural country. In Singapore, we will find individuals from different backgrounds, cultures, and lifestyles from all around the world. Needless to say, WatchLingo will be a good addition to the collection of items to be used when overcoming the language barrier. To capture everyone's attention, BrainBox will use outdoor advertising, displaying WatchLingo on billboards, bus stops, and banners around Singapore as a good way to attract attention. Of course, good old fashion television and radio advertisements will also be used.

3.2.4 Influencer Promotion

BrainBox can utilize powerful advocates for travel and leisure such as Instagram, Youtube, and Tik Tok influencers to generate a huge presence online through the following methods:

I. Affiliate marketing and giveaways

Most of the time users are more inclined to try out new products with the added incentives of discounts or giveaways. Through their various online presence, influencers can drive sales by describing WatchLingo, its benefits, and its usage to their viewers who share the same interest in traveling as them. BrainBox will then provide them with a referral code for a user discount or participation in a giveaway contest or lucky draw. Whenever their viewer key in their referral they will generate a commission and BrainBox will be able to gain an extra customer.

II. Sponsored posts

Influencers often display their sponsored posts including either a company's logo or their product be it through Instagram, Xiao Hong Shu or Facebook, or other means of reaching their audience. In this case, BrainBox will sponsor influences for each post which will feature them using WatchLingo and their caption will include how they go about using it. WatchLingo's multiple features and ease of usage will then be emphasized with brilliant visuals and graphics to attract more users.

III. Product reviews

Consumers are often skeptical of a new product and are heavily reliant on trusted sources for opinions. One such source would be reviewed by those with an occupation or lifestyle which ties them to the product. WatchLingo reviews from influence are expected to provide potential customers with in-depth knowledge of

the product from its background to its place in the user's life once it is purchased. This enables users to put themselves in the shoes of a WatchLingo owner and imagine the benefits they could enjoy if they decide to make the purchase.

3.3 Competitor Analysis

I. Translator:

A handheld device that allows its users to speak into it, the translation of the input will then be sounded out.

Pros:

- Does not require an internet connection
- Offers translation to over 50 languages
- Wearable around the neck or clipped to clothing
- Compact and convenient to bring around

Cons:

- The translation is only one way
- Limited vocabulary
- Dependent on cellular coverage only

II. Langogo Summit

A handheld device with a 3.1-inch touchscreen display translator. Translation could be done by inputting text and capturing users' voices or images of text through a built-in microphone or camera.

Pros:

- AI-powered translation, thus achieving greater accuracy
- Provides translation history and transcription
- Has built-in eSIM and global Wifi coverage in over 100 countries
- Translates over 100 languages
- Has a bigger touchscreen display

Cons:

- High cost
- Bulky and heavy

III. Apple Watch

A device worn on the wrist, touch screen functionality with multiple applications.

Pros:

- Wide range of applications and functions ranging from health and fitness tracking, entertainment, and connectivity
- Customization
- Synced with other devices
- Well-known with an established customer base

Cons:

- Price
- Does not possess a specific function
- Relatively small touchscreen

3.4 Estimated Sales

With a wide target market, we are expecting to sell 800 units within our first year which would yield a revenue of \$128,000 based on our unit price of \$160. Given the relative obscurity of our product and our locally focused sales targets, we predict that our first year's sales will be small.

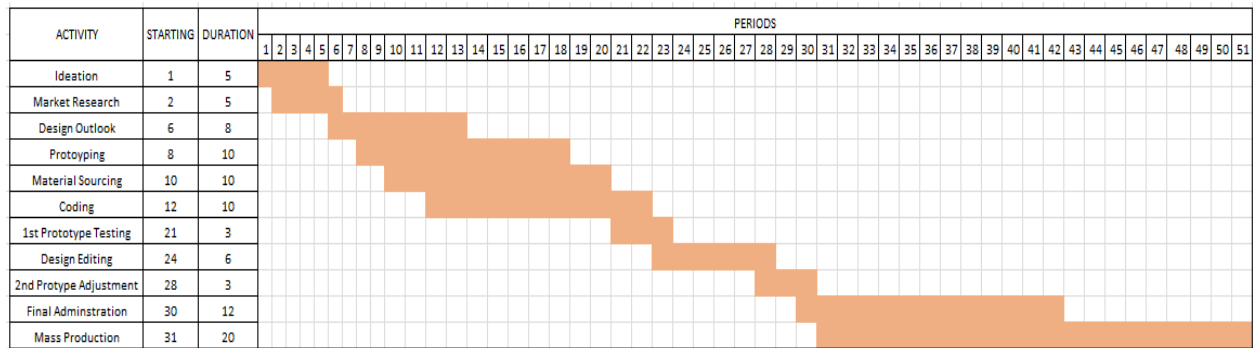
However, we anticipate a gradual increase in sales at a rate of 25% annually, and our sales goals for the next two years are 1000 and 1250 units respectively. We have confidence that WatchLingo's reputation will spread through advertising and word-of-mouth, and as more individuals become familiar with our product, the demand will rise. Furthermore, we plan to broaden our sales efforts beyond the domestic market in the second year, extending to other regions of Asia, as our online presence and social media promotion help raise awareness of our brand worldwide.

We are confident that WatchLingo will develop into a lucrative business opportunity in years to come as it helps travelers to overcome language barriers.

4 Development and Production

4.1 Development and Production Status

The Gantt Chart below shows the development status and plan of WatchLingo.



BrainBox has completed the initial stages and is currently in the prototyping phase. For the prototyping testing, our company will be testing the prototype if it meets the various goals such as safety and reliability. From there, we will try to make amendments and adjustments to further improve the prototype.

4.1.1 Prototyping and Testing

Prototyping and testing are crucial stages in the product development cycle as they allow for iterative improvements and validation of the product's functionality, usability, and user experience.

The prototyping phase involves creating a tangible representation of the translation watch concept. We hope to achieve it through 3D modeling and printing or by assembling components to create a functional prototype. The prototype will include key features such as a display, language input options, and audio output. By creating a physical prototype, stakeholders can visualize WatchLingo and provide feedback on its design and functionality.

Once the prototype is ready, it will undergo rigorous testing to evaluate its performance and identify any issues or areas for improvement. We plan to conduct testing through the methods listed:

I. Functional Testing

This involves verifying that WatchLingo performs its intended functions accurately. We will scan various signs and images in different languages and assess the accuracy of the translations provided by the watch.

II. Durability and Reliability Testing

WatchLingo will be subjected to simulated conditions that mirror real-world conditions to examine its durability and reliability. The watch will be exposed to various conditions like different temperatures, humidity levels, and physical stress. The outcome is to ensure that WatchLingo can effectively withstand everyday wear and tear.

4.1.2 Patent/Copyrights

As our source code is part of 'Literacy Work' under the scope of protection, we will apply for Copyright for our source code use for the programming of the prototype through the Intellectual Property Office Of Singapore. We intend to apply for a patent for WatchLingo since it is a unique invention of ours.

4.1.3 Field Testing

BrainBox will target mainly two groups for field testing: international students and tourists. For international students, exchange students' internal organizations and school clubs such as the G.E.M club will gather their members to test out our products. For tourists, travel agencies SA Tour and Dynasty Travel will be distributing complimentary WatchLingo to each family participating in a tour. Feedback provided in Microsoft forms after the use of the product will then be used to assess the strengths and weaknesses in WatchLingo to enable further improvements to be made.

4.1.4 Future Expansion

With the need for WatchLingo witnessing a rise, BrainBox will continuously seek to expand its investments and R&D to push WatchLingo to the furthest of its capabilities. Features such as global Wifi coverage, built-in eSim, and compatibility with multiple other devices will be executed in the newer versions. WatchLingo will also be able to take on different inputs and outputs such as sound, speech, text activation, and display for its users' convenience. WatchLingo will also be customizable, from its user settings to its external appearance. What's more, WatchLingo will be part of a line of wearable devices such as voice-detecting rings and earbuds or text-detecting glasses. All in all, BrainBox aims to provide a seamless and highly personalized translating experience and break the barrier that multiple languages pose in hopes of bringing us closer to one another.

4.2 Production Process

I. Research and Design

Product designers, electrical and mechanical engineers, and software developers will come together to continuously bring forth new ideas and improvements to the current model in terms of design and functionality.

II. Prototyping

The model will be subjected to various tests to assess its durability, strength, and whether it can deliver its intended function. The results will be used as a baseline for future improvements to be made.

III. Manufacturing of product

Once the prototype is deemed fit by various decision-makers, assembly of the products will proceed.

IV. Quality Control

Statistical process control, quality management systems, and regulatory compliance will be checked to ensure that the quality is up to par.

V. Logistics

Once the products are ready to be shelved, they will be securely packaged and distributed through various outlets, be it physical stores or order through online shopping platforms. The rest will be left to marketing and sales.

4.3 Cost of Production

Parts	Price/Unit	Quantity	Cost
Raspberry Pi 3.5" Resistive Touch LCD (B) IPS 272 X 320	\$49.20	2	\$98.40
Jumper Wire (15 per packet)	\$5	1	\$5
Push Button	\$1	4	\$4
Total Cost:			\$107.40

4.4 Labour Expenses

Currently, our company has 9 of us and we monitor the entire operation of the company. We intend to hire engineers who are knowledgeable in software coding and who will be working on improving the programming of WatchLingo. In addition, we will need several engineers who will be in charge of designing and assembly of the hardware.

Foreign workers will be hired to help the engineers with the handling of the assembly during production.

LABOUR	MONTHLY SALARY PER LABOUR	QUANTITY	COST
Software Engineer	\$5,500	4	\$22,000
Engineer	\$4,500	4	\$18,000
Foreign Workers	\$650	2	\$1,300
Total Cost:			\$41,300

Assuming the engineers we hired are local degree holders and based on our company size and budget, we plan to hire the number of workers as stated above. We plan to go for further skills upgrading in the future after 1 to 2 years where we are stabilizing our company operation.

4.5 Expenses and Capital Requirements

4.5.1 Operating Expenses

Operating Expenses

Rent/Lease	\$9,800.00
Maintenance and Repairs	\$9,770.00
Wages	\$19,800.00
Utilities/Telephone Expenses	\$85.00
Other Expenses	\$60.00
Total Expenses	\$39,515.00

4.5.2 Capital Requirement

The breakdown of the total capital required to operate the equipment procured is as shown in the table below. The accumulated depreciation on all equipment per annum amounts to \$2,500.00.

Fixtures and Fittings	\$12,000.00
Equipments	\$23,000.00
Installation Charges	\$2,500.00
Inventory	\$35,000.00
Licensings and permits	\$8,000.00
Maintenance	\$4,500.00
Insurance	\$4,000.00
Total Capital Requirement	\$89,000.00

4.5.3 Cost of Goods

The breakdown of the sales and profit/loss of WatchLingo is shown in the table below. The cost of goods sold (COGS) for WatchLingo can be calculated by subtracting the total operating expenses from the company's revenue. This will provide a sense of the gross profit margin for the company (PNL) annually.

Year	Units Sold	Price per Unit	Total Sales	Expenses	Profit/Loss
1	800	\$160	\$128,000	\$128,515	- \$515
2	950	\$160	\$152,000	\$39,515	\$112,485

3	1100	\$160	\$176,000	\$39,515	\$136,485
4	1250	\$160	\$200,000	\$39,515	\$160,485
5	1500	\$160	\$240,000	\$39,515	\$200,485

5. Sales and Marketing

5.1 Sales and Marketing Strategy

WatchLingo's target audience is people who frequently travel to foreign countries, work in a multiracial environment, or students who are studying in foreign countries. Hence, we will develop a brand story that conveys WatchLingo's unique value proposition, highlighting how WatchLingo helps users to break down language barriers and experience new cultures. We can also highlight the qualities of WatchLingo to encourage consumers to buy our products.

5.1.1 Qualities

I. User-friendly

The watch will automatically translate any text that is pointed at by the user and display the translation on the watch's face, such as on a street sign or paper. In cases where time is of the essence, such a device makes it possible for users to quickly read the text without the need to tinker with their phones or translation tools.

II. Accessible

Unlike WatchLingo, translation apps that are available in the current market are only accessible to people who own smartphones. Thus, the older generations who are not tech-savvy may not have access to these translation apps.

5.2 Methods of Sales

There are several methods of sales for BrainBox to consider.

Firstly, through our commercial platform, we can sell WatchLingo directly to our consumers. This would give consumers the convenience of buying the product online from the comfort of their homes or offices. Secondly, we can make use of B2B sales by selling WatchLingo to businesses that need language translation devices such as airports and hotels.

We can also employ a direct sales strategy, where a sales team reaches out to potential customers and makes a pitch for the product. This can be done through emails, phone calls, or in-person meetings. Lastly, we can partner with retail stores to sell our products. Some potential partners include electronics stores and travel stores.

5.3 Advertising and Promotion

There are multiple methods to reach and engage potential customers. Firstly, Watchlingo can use content marketing. This may include blog articles, social media posts, videos, and infographics that educate customers about the benefits of WatchLingo and showcase how it can make their lives easier. Furthermore, WatchLingo can also collaborate with influencers with large followings in the travel, language, or tech space. Influencers can create content that highlights the benefits of WatchLingo and promote it to their fan base.

Next, we can employ search engine marketing to reach prospective clients who are looking for language translation tools right now. This can be accomplished by developing tailored adverts that show up when users use search engines like Google to look up pertinent terms.

Lastly, BrainBox can also promote WatchLingo and build relationships with possible partners and clients by participating in trade shows and events in the travel, language study, and tech industries.

6. Management

6.1 Management Team

Chief Executive Officer (CEO)

Mr. Chua Jun Hao Thaddeus is the highest-ranking executive in the company and he is responsible for making major corporate decisions, managing overall operations, and creating and implementing the company's strategy. Mr. Chua holds a Master's Degree in Business Administration and a Degree in Aerospace Engineering with 1st Class Honors. He also has 7 years of experience in the field of engineering.

Chief Operating Officer (COO)

Ms. Ruth Ng Ying Hui is the second-in-command and reports directly to the CEO. She is responsible for overseeing the company's day-to-day operations, ensuring that the company's operations are efficient and effective. Ms Ng works closely with other executives and department heads to ensure that the company's operations are aligned with its goals and objectives. Ms Ng holds a Master's Degree in Business Administration and she has 3 years of experience working as a management operator in the field of engineering.

Chief Financial Officer (CFO)

Mr. Lee Kee Yee is a senior executive responsible for managing the company's financial operations and reporting to the CEO and board of directors. His primary responsibilities include financial planning and analysis, financial reporting, risk management, cash flow management, and overseeing accounting and tax operations. Mr. Lee has a Master's Degree in Finance and he has 4 years of working experience in Citibank Singapore Limited as a financial analyst.

Chief Engineer

Mr. Kwa Yu Heng is the company's Chief Engineer and he is responsible for overseeing the design, development, and implementation of the company's products, services and systems. Mr. Kwa works closely with other departments such as research and development to ensure that the products are designed to meet customer needs and that they are produced on time, within budget, and to the required quality standards. Mr. Kwa has a Master's in Mechanical Engineering and he also has professional certifications which include Professional Engineer (PE) and Chartered Engineer (CEng) designation.

Research and Development Director

Mr. Lee Kai Shuen leads his department in developing and implementing R&D strategies that align with the company's overall goals and objectives. He also leads the ideation, design, and development of new products and services. Mr. Lee has a Degree in Mechanical Engineering with 1st Class Honors.

Human Resource Director

Mr. Tan Kah Wee Lester is responsible for overseeing the HR function of the company. Mr. Tan works closely with other executives and managers to develop and implement

HR strategies that support the company's goals and objectives. He also ensures that the company has the right talent, culture, and policies to succeed. Mr. Tan has a Double Degree in Mechanical Engineering and Human Resources.

Accounting Director

Mr. Muhammad Ilham Bin Abdul Aziz works closely with the Chief Financial Officer and he manages the accounting team, prepares financial reports, and ensures compliance with financial regulations. He also manages relationships with external auditors, tax advisors, and other financial consultants. Mr. Muhammad has a Double Degree in Accounting and Mechanical Engineering.

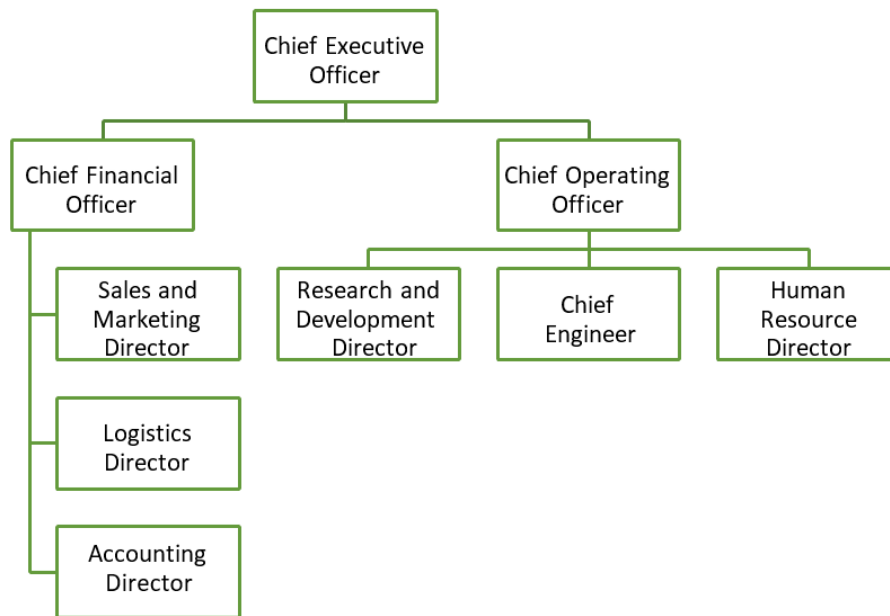
Sales and Marketing Director

Ms Ramakrishnan Rishanthi is a senior executive responsible for developing and executing the sales and marketing strategies of the company. She works closely with other executives and managers to develop and implement marketing campaigns and sales initiatives that drive revenue and increase brand awareness. Ms Ramakrishnan has a Double Degree in Mechanical Engineering and Marketing.

Logistics Director

Mr. Yu Liang Jordan is responsible for overseeing the planning, implementation, and management of the movement of goods, materials, and people within the company. He works closely with other executives and managers to ensure that products are delivered to customers on time and at the lowest cost possible. Mr. Yu has a Bachelor's in Supply Chain Management.

6.2 Management Structure



7. Financial Data

7.1 Risk Analysis

To ensure that BrainBox is ready to encounter any unwanted circumstances be it in development, production, and distribution, the following will be potential risks BrainBox can emphasize:

- I. Financial
 - Changes in market conditions
 - Fluctuations in interest and exchange rates
 - Recessions or inflation disrupting labor costs
- II. Manufacturing risks
 - Production delays due to collaboration with inefficient manufacturers
 - Component shortages due to high demand
 - Unexpected equipment failures
- III. Operational risks
 - High cost of equipment management
 - Supply chain disruption due to unforeseen circumstances i.e. Covid-19
 - Advertisement and marketing cost far outweighs the benefit of sales

- The targeted is market is not responding well

IV. Competition risks

- Competitors are more well known
- Competitors boast more features reaching a wider audience
- Competitors offer more functions for a lower price
- Competitors are more long-standing

7.2 Cash Flow Statement

Cash Flow Statement	
BrainBox	For the year ending: 2023
Operating Activity	
Customers	\$127,200.00
Other operations	\$1,860.00
<i>Cash paid for</i>	
General operating and admin expenses	-
Wage expenses	\$19,800.00
Interest	\$5,500.00
Income taxes	\$3,280.00
Net Profit from Operations	\$157,640.00
<i>Additions to cash</i>	
Depreciation	\$660.00
Amortization	\$320.00
<i>Subtractions from Cash</i>	
Increase in Accounts Receivable	\$1,700.00
Increase in Inventory	\$3,890.00
Total Cash from Operating Activities	\$164,210.00
Investing Activities	
<i>Cash receipts from</i>	
Purchase of equipment	\$890.00
Bank loan	\$10,000.00
Total Cash from Investing Activities	\$10,890.00
Financing Activities	
Drawing/Distribution	\$5,690.00
Repayment of loans	\$7,500.00
Total Cash from Financing Activities	\$13,190.00
Beginning Cash	\$110,560.00
Total Change in Cash	\$188,290.00
End of the year	\$298,850.00

7.3 Balance Sheet

Balance Sheet				
BrainBox	2024	2023	2022	
Assets				
Current Assets:				
Cash	\$297,500.00	\$283,700.00	\$238,650.00	
Accounts Receivable	\$7,700.00	\$5,880.00	\$7,650.00	
Inventory	\$9,200.00	\$9,070.00	\$9,550.00	
Total current assets	\$314,400.00	\$298,650.00	\$255,850.00	
Long-Term Assets:				
Less accumulated depreciation	-\$500.00	-\$500.00	-\$890.00	
Furnitures	\$810.00	\$700.00	\$480.00	
Total Assets	\$314,710.00	\$298,850.00	\$255,440.00	
Liabilities				
Current liabilities:				
Accounts payable	\$4,200.00	\$5,580.00	\$8,000.00	
Accrued expenses	\$680.00	\$890.00	\$600.00	
Unearned revenue	\$9,980.00	\$10,900.00	\$12,200.00	
Total current liabilities	\$14,860.00	\$17,370.00	\$20,800.00	
Long-term debt	\$700.00	\$4,500.00	\$950.00	
Total Liabilities	\$15,560.00	\$21,870.00	\$21,750.00	
Shareholder's Equity				
Investment capital	\$200,000.00	\$200,000.00	\$200,000.00	
Retained earnings	\$99,150.00	\$76,980.00	\$33,690.00	
Shareholder's Equity	\$299,150.00	\$276,980.00	\$233,690.00	
Total Liabilities & Shareholder's Eq	\$314,710.00	\$298,850.00	\$255,440.00	
Balance	\$0.00	\$0.00	\$0.00	

7.4 Income Statement

Income Statement	
BrainBox	2023
Revenue	
Sales Revenue	\$228,900.00
Interest Revenue	\$13,350.00
Gain of Sales of Assets	\$975.00
Total Revenue & Gains	\$243,225.00
Expenses	
Advertising	\$40,000.00
Depriciation	\$770.00
Insurance	\$1,095.00
Interest	\$880.00
Office Supplies	\$65.00
Rent/Lease	\$9,800.00
Maintenance and Repairs	\$9,770.00
Wages	\$19,800.00
Utilities/Telephone Expenses	\$85.00
Other Expenses	\$60.00
Total Expenses	\$82,325.00
Income before tax	\$160,900.00
Income tax expense	\$3,260.00
Net Profit (Loss)	\$157,640.00

7.5 Funding Request and Return

The management team of BrainBox has invested \$400,000 into the company and we have made significant progress with our products. However, to expand our operations and further improve our products, we are seeking an additional \$400,000 from external investors. This investment will significantly affect the growth potential of BrainBox as it enables us to increase the number of products we offer and expand into new markets. To reach a larger audience and raise brand awareness, we will also use the funds to step up our marketing initiatives. As a result, we forecast an increase in revenue of 30% over the following two years, with the possibility of further significant growth.

We are offering a 20% equity stake in our business in exchange for your investment, along with a seat on our board of directors. We are confident that your knowledge and experience will be crucial in assisting us in achieving our objectives. In addition, we will provide regular updates on the status and development of the company, as well as the company's financial performance.

One potential upside in investing in our company is the high profit-margin. Despite the relatively high production and development costs of our product, we strongly believe that the unique selling propositions offered by WatchLingo will bring high profit margins which makes it an attractive investment opportunity.

One potential downside is the regulatory and legal challenges that we might face when expanding internationally. It is common for companies with international operations to encounter regulatory and legal challenges, particularly with regard to data privacy. However, we have already taken countermeasures to ensure that these challenges will not be an issue when we expand internationally.

7.6 Exit Strategy

To assure professionalism, financial stability, and career growth through planning, BrainBox values the need for an efficient exit strategy.

- I. Meetings are to be scheduled to review the current financial situation every other month. During these meetings, agendas along the lines of resources availability, financial status, and the extent of losses are discussed in depth.
- II. Based on sales and feedback gathered, the marketing and advertising efforts, product quality, and competitor performance are also discussed. The trends of performance are gathered and assessed together. From there on we will have a

better grasp of where to spend our resources and bring out the best results without compromising the quality of our product.

- III. However, should all efforts be exhausted without a trace of saving the product anywhere in sight, the company will initiate phasing out the product over time. The gradual reduction in marketing and promotion is a great alternative to save losses, all while allowing the customers to let the absence of the product sink in.